

LIFE ASSURANCE INDUSTRY REPORT FOR

THE QUARTER-ENDED 31 MARCH 2023



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- iv. Please Note: All Monetary Figures are in ZW\$ except stated otherwise.
- v. All ZW\$ amounts are expressed in nominal terms, except where specifically stated to be in real terms.

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Abbreviations

IPEC	Insurance and Pensions Commission
GPW	Gross Premium Written
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
ZICARP	Zimbabwe Integrated Capital and Risk Programme

SECTION A

EXECUTIVE SUMMARY

1. Executive Summary

- 1.1** The Life Assurance Sector was made up of 12 direct Life Assurance companies, four (4) Life Reassurance companies and 1,425 life agents.
- 1.2** Out of the 12 registered Life Assurance companies, one company, Heritage Life Assurance Company failed to submit its return for the quarter under review.
- 1.3** The sector reported a Gross Premium Written (GPW) of ZW\$35.9 billion, a nominal increase of 452% from ZW\$6.5 billion reported in the first quarter of 2022. The sector experienced inflation- adjusted growth in GPW of 196.4%.
- 1.4** Growth in GPW was mainly attributable to premium adjustments in line with rising inflation as well as new business though on a small scale as the ratio of new business to the total premiums collected is only 4.38%. Additionally, recurring premiums and new business written for the quarter ended 31 March 2023 increased in nominal terms by 123% and 160%, respectively as compared to the same period in 2022. The two classes which contributed to the significant increase are Funeral Assurance and Group Life Assurance business.
- 1.5** GPW for life reassurers grew by 309% in nominal terms, from ZW\$267 million reported for the quarter ended 31 March 2022 to ZW\$1.09 billion for the quarter ended 31 March 2023. In real terms, the increase in GPW was 118%.
- 1.6** The life assurance sector reported foreign currency business amounting to US\$10.5 million, which translates to a growth of 183.8% from the US\$3.7 million reported in the first quarter of 2022. The funeral assurance business was the major contributor with one entity writing 40% of the business.
- 1.7** The Life Reassurance sector reported foreign currency business amounting to US\$0.78 million for the period ended 31 March 2023.
- 1.8** All the 11 Life Assurance companies, which submitted their returns and all four (4) Life Reassurance companies reported capital positions that were compliant with the prescribed Minimum Capital Requirements (MCR) of ZW\$75 million and ZW\$112.5 million under SI 95 of 2017, respectively, as at 31 March 2023. However, the entities are expected to have systems in place to

comply with the risk-based solvency regime under the ZICARP framework whose implementation date was 01 January 2023.

- 1.9** Direct Life Assurers reported a 64% nominal growth in total assets from ZW\$274.8 billion as at 31 December 2022 to ZW\$451 billion as at 31 March 2023. The growth was mainly attributed to revaluation gains, derived from investment properties and listed equities.
- 1.10** The asset base for Life Reassurers decreased by 32% from ZW\$11 billion as at 31 December 2022 to ZW\$7 billion as at 31 March 2023. The decrease in total assets was as a result of one reinsurer who had been reporting a combined asset position in 2022, which included both life and short-term business. The anomaly has since been rectified.
- 1.11** The average prescribed assets compliance ratio stood at 8% and 6% as at 31 March 2023 for Life Assurers and Life Reassurers, respectively. Only three direct Life Assurers and two Life Reassurers were compliant with the minimum prescribed threshold of 15% as at 31 March 2023.
- 1.12** Insurers are encouraged to consider all the instruments in the market that have been accorded prescribed asset status to ensure that compliance is met.
- 1.13** In real terms, total profit after tax for Life Assurers increased by 537% from ZW\$5 billion for the quarter ended 31 March 2022 to ZW\$32 billion as at 31 March 2023.
- 1.14** Table 1 below summarises the key financial indicators for the life insurers.

Table 1: Summary of Key Financial Indicators for Life Assurers

	Life Assurance				
Key Performance Indicator	Mar-22	Mar-23	Change	Mar 2023 Inflation Adjusted	Change - Inflation Adjusted
Total GWP (ZW\$000)	6,471,539	35,982,692	456.01%	19,180,738	196.39%
Total Gross Claims (ZW\$000)	393,830,654	10,750,966	-97.27%	5,730,851	-98.54%
Management, Operating and Administration Expenses (ZW\$000)	7,735,554	15,812,609	104.41%	8,428,984	8.96%
Commissions (ZW\$000)	3,626,456	2,625,288	-27.61%	1,399,422	-61.41%
Total Costs (ZW\$000)	405,192,665	29,188,864	-92.80%	15,559,257	-96.16%
Profit After tax(ZW\$000)	4,868,875	57,428,143	1079.50%	30,612,333	528.74%
	Dec-22	Mar-23	Change		
Total Assets (ZW\$000)	274,750,738	450,888,775	64.11%		
Total Liabilities (ZW\$000)	146,428,663	243,755,239	66.47%		
Current Assets (ZW\$000)	40,482,351	37,817,920	-6.58%		
Current Liabilities (ZW\$000)	141,575,006	34,720,560	-75.48%		
Capital (Net Assets-ZW\$000)	128,322,076	207,133,536	61.42%		
Capital to liability Ratio	87.63%	84.98%	-3.03%		
Prescribed Assets (ZW\$000)	25,425,944	37,636,950	48.03%		
Prescribed Asset Ratio	9.25%	8.35%	-9.80%		

1.15 Profit after tax for Life Reassurers increased by 195% from ZW\$199 million reported for the quarter ended 31 March 2022 to ZW\$ 587 million as at 31 March 2023.

1.16 The increase in profit after tax for Life Assurers was mainly driven by high investment returns from revaluation gains on investment properties and adjustment in premiums in line with inflation. During the quarter under review, net claims paid only accounted for 30% of the net premium written, which also contributed to the increase in profit after tax.

1.17 Key financial indicators for the Life Reassurers are summarised in table 2 below.

Table 2: Summary of Key Financial Indicators for Life Reassurers

	Life Reassurers				
Key Performance Indicator	Mar-22	Mar-23	Change	Mar-22 Inflation Adjusted	Change - Inflation Adjusted
Total GWP (ZW\$000)	266,669	1,091,580	309.34%	581,872	118.20%
Total Gross Claims (ZW\$000)	62,981	175,389	178.48%	93,492	48.44%
Operating and Administration Expenses (ZW\$000)	23,251	150,634	547.85%	80,296	245.34%
Commissions (ZW\$000)	42,790	231,705	441.49%	123,512	188.65%
Total Costs (ZW\$000)	129,023	557,728	332.27%	297,300	130.42%
Profit After tax (ZW\$000)	199,106	587,235	194.94%	313,028	57.22%
	Dec-22	Mar-23	Change		
Total Assets (ZW\$000)	10,528,366	7,212,050	-31.50%		
Total Liabilities (ZW\$000)	5,078,661	1,482,930	-70.80%		
Current Assets (ZW\$000)	7,219,845	3,624,412	-49.80%		
Capital (Net Assets-ZW\$000)	5,449,705	5,729,119	5.13%		
Capital to liability Ratio	107.31%	386.34%	260.03%		
Prescribed Assets (ZW\$000)	1,153,004	448,653	-61.09%		
Prescribed Asset Ratio	10.95%	6.22%	-43.20%		

SECTION B

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission at a Glance

- 2.1** The Insurance and Pensions Commission (IPEC) is a Statutory Body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.
- 2.2** This report outlines industry developments and IPEC's various activities in the life insurance sector, consistent with its statutory mandate for the quarter ended 31 March 2023.

3 Terms of Reference

- 3.1** The activities of the Commission are guided by the following Acts and their regulations:
- Insurance and Pensions Commission Act [Chapter 24:21]
 - Pensions and Provident Fund Act [Chapter 24:32]
 - Insurance Act [Chapter 24:07]
 - Money Laundering and Proceeds of Crime Act [Chapter 09:24]
 - Finance Act [Chapter 23:04]
 - Public Entities and Corporate Governance Act [Chapter 10:31]
 - Public Finance Management Act [Chapter 22:19] and
 - Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

4 Regulatory Developments

4.1 Circulars and Statutory Instruments

The Commission issued Statutory Instruments and Circulars to the Insurance Industry during 2023 as shown below.

Table 3: Statutory Instruments and Circulars issued in 2023

Circular	Date of Issue	Purpose
Circular 3 of 2023	15/02/2023	Request for information on registered agents
Circular 9 of 2023	09/03/2023	Quarterly returns additional reporting requirements
Circular 11 of 2023	16/03/2023	Guideline for regulation of offshore investments

4.2 IFRS 17

4.2.1The Commission reminds the life assurance sector that IFRS 17 Standard became effective with effect from 1 January 2023 and the industry is required to implement the same.

4.2.2Players should take the IFRS 17 Standard seriously and deploy the required resources to ensure that their financial statements are compliant starting from the first reporting date.

SECTION C

ECONOMIC OUTLOOK

5 Economic Overview

5.1 Global and Regional Economic Outlook

Inflation Peaking Amid Low Growth

5.1.1 Global growth is projected to fall from an estimated 3.4 percent in 2022 to 2.9 percent in 2023 (IMF). The rapid spread of COVID-19 in China dampened growth in 2022, but the recent reopening has paved the way for a faster-than-expected recovery. Global inflation is expected to fall from 8.8 percent in 2022 to 6.6 percent in 2023 and 4.3 percent in 2024, still above pre-pandemic (2017–19) levels of about 3.5 percent.

Table 4: World Economic Outlook Projections

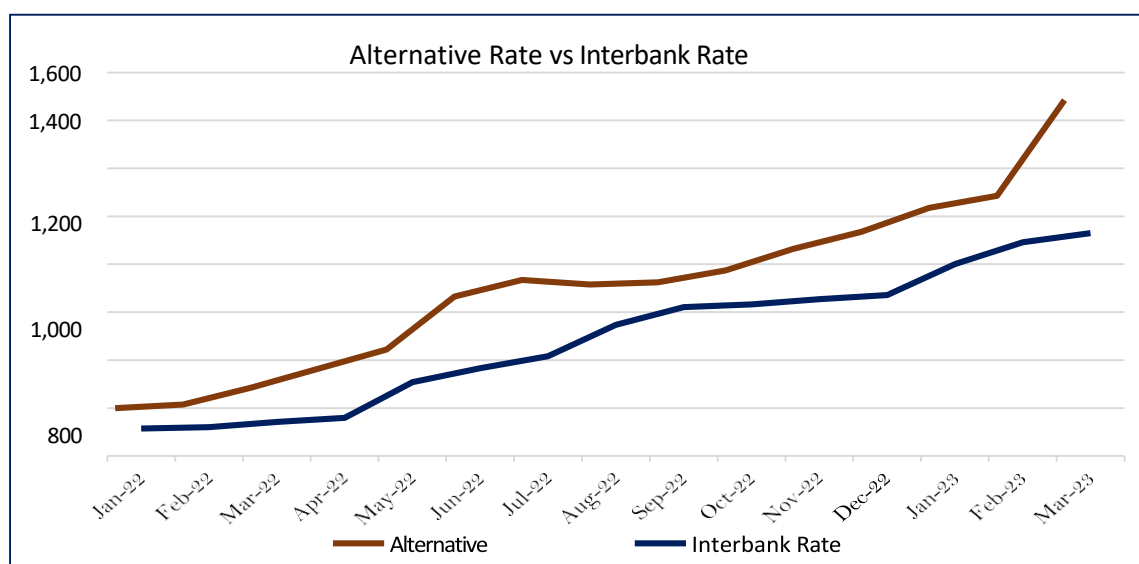
	2022	2023	2024
World Output	3.4	2.9	3.1
Advanced Economies	2.7	1.2	1.4
USA	2.0	1.4	1.0
Euro Area	3.5	0.7	1.6
Emerging Markets and Developing Economies	3.9	4.0	4.2
China	3.0	5.3	4.5
Sub-Saharan Africa	3.8	3.8	4.1
Nigeria	3.0	3.2	2.9
South Africa	2.6	1.2	1.3
Zimbabwe	4.0	3.8	4.8

Source: January 2023 World Economic Outlook Update, IMF Projections

5.2 Domestic Economic Outlook

5.2.1 Domestic GDP growth is projected to slowdown from 4% in 2022 to 3.8% in 2023, sustained primarily by mining, agriculture, and enhanced activity in the manufacturing, wholesale, and retail trade sectors. About 75% of domestic transactions were denominated in foreign currency in Q1/2023. As a result of the growing dominance of the USD in the economy, authorities resolved to measure inflation using a weighted average of goods and services priced in local currency and USD. The local currency continued to depreciate against the US dollar.

Figure 1: Interbank Exchange Rate vs Alternative Rate - Mar 22 to Mar 23 (US\$/ZWL)

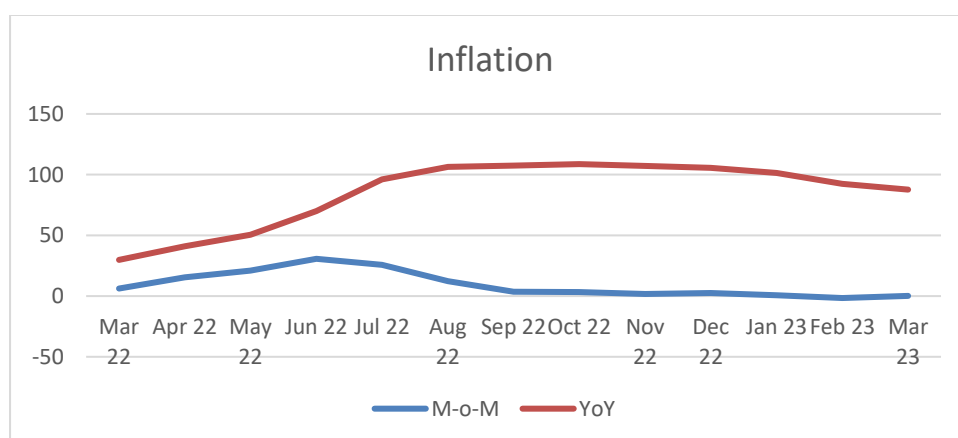


5.3 Inflation Developments

5.3.1 Weighted annual inflation for both US\$ and ZW\$ eased from 101.5% in January this year to 87.6% at the end of the first quarter. Monthly Inflation has decelerated from 0.7% in January to -1.6% in February and 0.1% in March. Despite the slowdown in official inflation figures, the local currency has depreciated against the US dollar on the parallel market.

5.3.2 The local currency depreciated 58% against the dollar during the first quarter on the alternative market. The alternative market premium also widened to 61% at the end of the quarter. The devaluation of the local currency and widening of the alternative market premium, imply serious adverse risks on both inflation outturn and economic growth in 2023. Figure 2 illustrates the inflation trend from March 2022 to March 2023.

Figure 2: Inflation Profile (%) Mar 2022 to Mar 2023

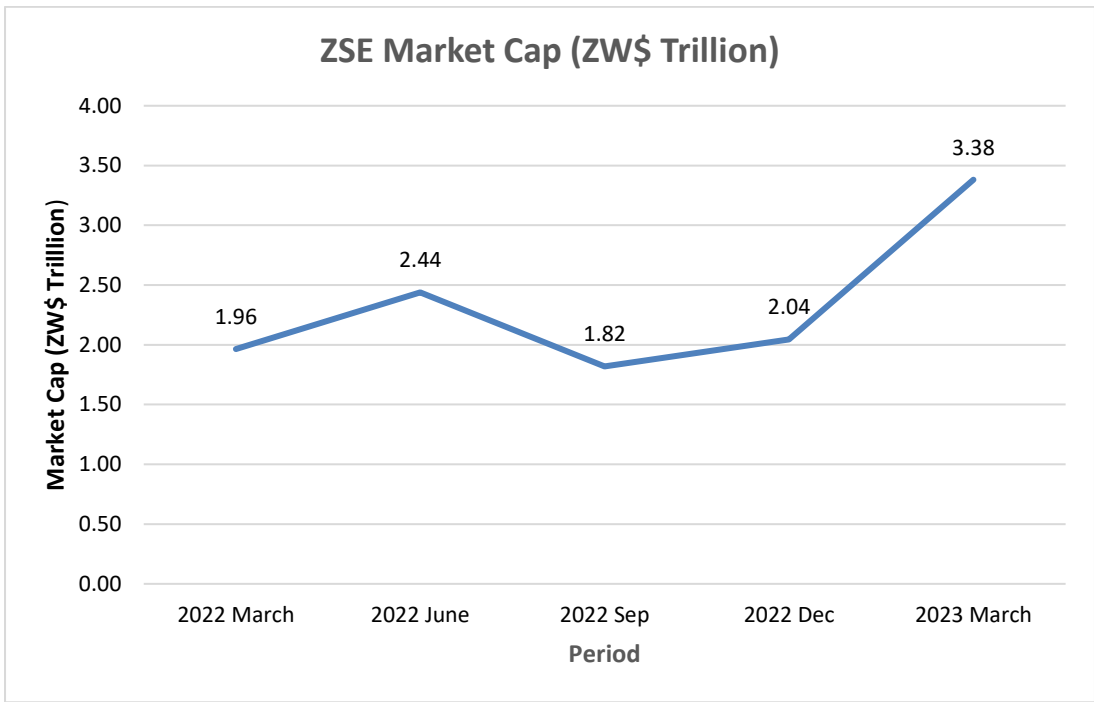


Source: RBZ

5.4 Zimbabwe Stock Exchange Performance

5.4.1 The Zimbabwe Stock Exchange registered improved performance over the first quarter. Year to date, the Zimbabwe Stock Exchange All Share Index (“ZSE ALSI”) rose 98% to 38,568.48 points at the end of March. The Top 10 Index rose 87% year to date, to close March at 12,311.13 points. Market capitalisation grew 66% over the quarter from ZW\$2.04 trillion to ZW\$3.38 trillion as shown on the figure 3 below.

Figure 3:: ZSE Market Capitalisation Trend



5.4.2 Notwithstanding the recovery of the stock exchange, the ZSE has seen an increase in de-listings by top counters in favour of the rapidly expanding US dollar denominated Victoria Falls Exchange as the bourse continues to attract migration of big companies. Migration of quality stocks from the ZSE to the VFEX, as opposed to new listings, may however be detrimental to the viability of the local currency denominated bourse.

5.5 Victoria Falls Stock Exchange (VFEX) Performance

5.5.1 The Victoria Falls Exchange continues to gain momentum, as issuers chase broadened capital sources, tax incentives, and brand positioning. Market capitalisation has grown 75% year to date to US\$992.88 million. Moving into the next quarter. More companies are expected to migrate to the VFEX as it offers investors more value preservation. First Capital Bank and African Sun have joined the list of companies slated for VFEX

migration. West Properties Company was set list on the VFEX in May 2023 by Initial Public Offer (IPO), as all listings on VFEX to date have been migrations from the ZSE.

5.5.2 Liquidity challenges remain a major drawback, limiting pronounced investor participation. Resultantly, the All-Share Index has fallen 7% year to date, closing the month of March at 91.76 points. As the number of quality listings on the VFEX continues to grow, and the flow of USD liquidity increases in the formal economy, improved activity on the VFEX is expected in the medium to long-term.

SECTION D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

6 Life Assurance Sector Architecture

6.1 As at 31 March 2023, there were 12 registered Life Assurers and four (4) registered Life Reassurers under the supervision of the Insurance and Pensions Commission (IPEC).

6.2 This report is based on 11 out of the 12 direct Life Assurers, and the 4 Reassurers. One Life Assurer failed to file their return for Q1 2023.

6.3 Life Assurers had 1,425 agents comprising both corporate and Individual life agents as shown in table five (5) below:-

Table 5: Distribution of Life Agents for Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE: AGENTS						
Name Of Company	Corporate Agents		Individual Agents		Total	
	Dec-22	Mar-23	Dec-22	Mar-23	Dec-22	Mar-23
Zimnat Life	-	-	246	241	246	241
Old Mutual Life	-	-	149	146	149	146
Evolution Life	-	-	-	-	-	-
Doves Life	-	-	192	252	192	252
Fidelity Life	-	-	45	47	45	47
Econet Life	-	-	-	-	-	-
CBZ Life	3	3	35	35	38	38
Nhaka Life	1	1	10	10	11	11
Nyaradzo Life	11	11	319	319	330	330
ZB Life	-	-	111	140	111	140
First Mutual Life	-	-	220	220	220	220
Total	15	15	1,327	1,410	1,342	1,425

****Heritage Life failed to submit its returns for Q1 of 2023**

6.4 As at 31 March 2023, the number of agents for the life assurance sector increased from 1,342 reported as at 31 December 2022 to 1,425 reported as at 31 March 2023. The increase in the number of agents is as a result of life assurers aiming to increase their footprint and grow their businesses in the market.

7 Performance in Terms of Gross Premium Written

7.1 During the reporting period, GPW by direct Life Assurers grew by 456% in nominal terms from ZW\$7 billion recorded the same reporting period in 2022 to ZW\$36 billion during the current reporting period.

7.2 In real terms, GPW increased by 196% and the positive real growth is attributable to premiums adjustments in response to inflationary pressures in the operating environment as opposed to new business. Recurring premiums and new business written increased by 123% and 160%, respectively, as compared to the previous comparable period in 2022.

7.3 The main drivers of growth in GPW were the funeral assurance and group life assurance business, which constituted 82% of the total premiums. Table 6 below shows the Gross Premium Written per company.

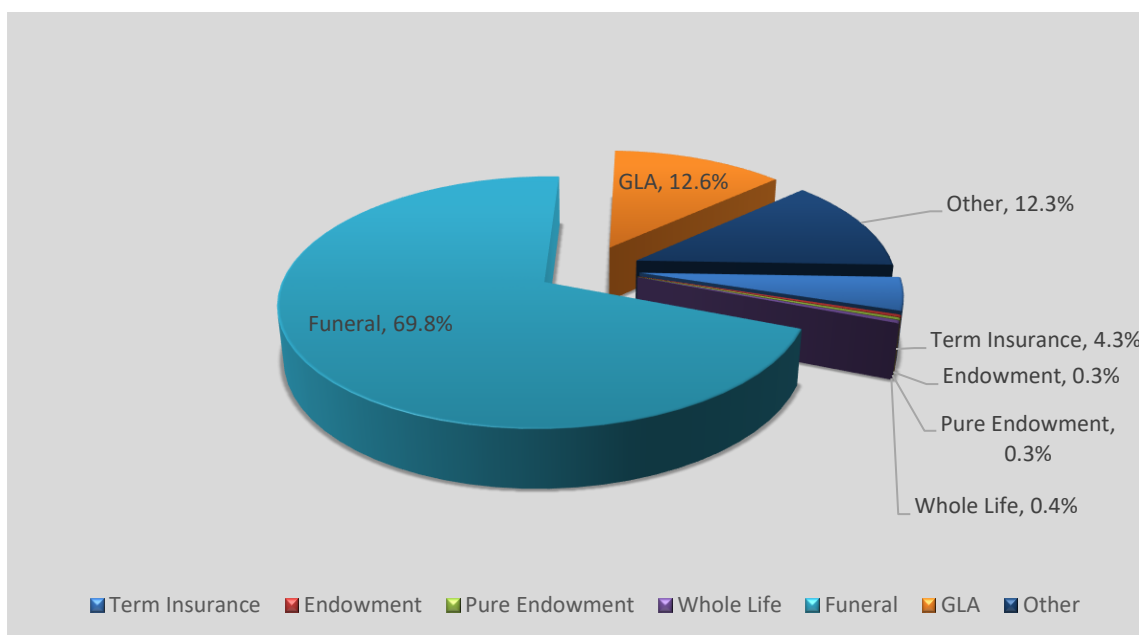
Table 6: Gross Premium Written Per Company (ZW\$000)

Name of Company	Mar-22	Mar-23	Mar-2023 Inflation Adjusted	Change Inflation Adjusted	Nominal Change
CBZ Life	218,186	809,452	431,482	98%	271%
Doves Life	964,939	4,287,451	2,285,445	137%	344%
Econet Life	499,696	2,053,963	1,094,874	119%	311%
Evolution Life	10,582	67,745	36,112	241%	540%
Fidelity Life	183,470	1,600,935	853,386	365%	773%
First Mutual Life	724,455	3,683,469	1,963,490	171%	408%
Nhaka Life	56,175	355,693	189,604	238%	533%
Nyaradzo Life	2,672,168	17,349,087	9,248,010	246%	549%
Old Mutual Life	584,020	2,195,720	1,170,439	100%	276%
ZB Life	213,582	1,346,809	717,923	236%	531%
Zimnat Life	344,267	2,232,369	1,189,974	246%	548%
TOTAL	6,471,539	35,982,692	19,180,738	196%	456%

Breakdown of GPW by Product

7.4 The figure below shows the distribution of Gross Premium Written by product line.

Figure 4: Distribution of Gross Premium Written (GPW) by Product Line



7.5 In terms of business composition, 69.8% of the total GPW was generated from the Funeral Assurance business, which has become the backbone of the sector.

7.6 Traditional Life Assurance products, which include term assurance, endowment policies, pure endowment and whole life, accounted for a small proportion (5.3%) of business generated by Life Assurers.

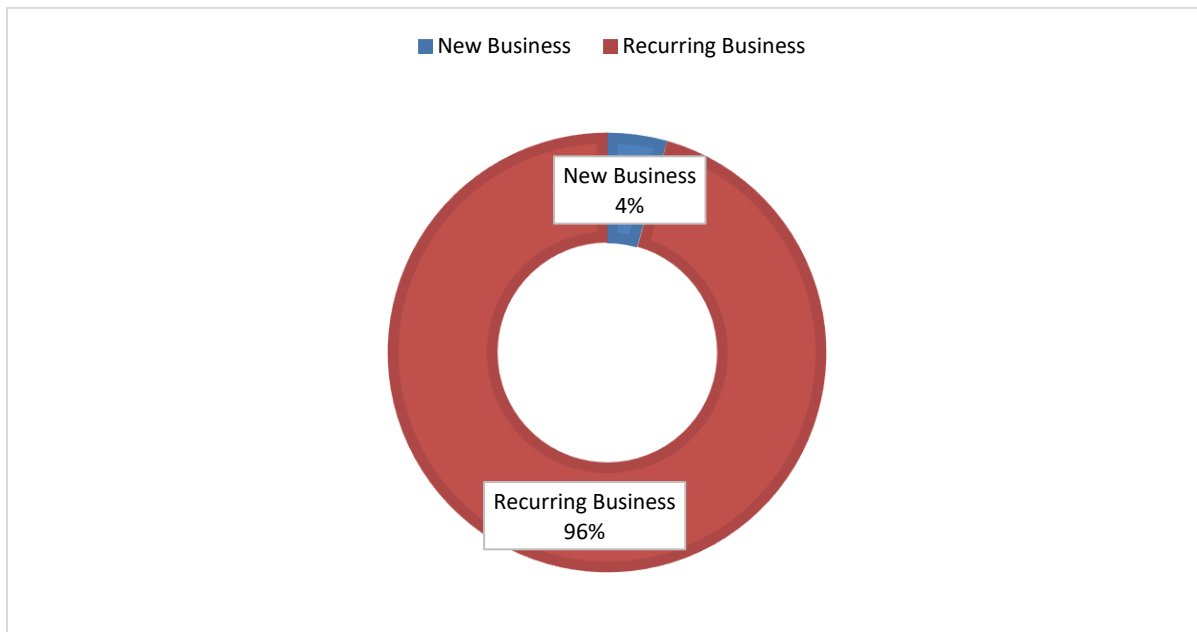
7.7 For the traditional life assurance products, there is no new business that was reported, with the existing products being mainly legacy products, which were sold to the market before 2009.

7.8 The state of the life assurance sector reflects low appetite for traditional life assurance products by the market as confidence in the sector remains low.

7.9 The Commission encourages all Life Assurers to deploy customer centric product development that meets the needs and restores confidence in the sector.

7.10 Uptake of insurance products continues to be depressed as noted by the distribution of business with recurring business contributing about 96% of the GPW for Life Assurance Sector with only 4% attributable to new business. The figure below shows the distribution of business by source.

Figure 5 : Business Composition for Life Assurers



The low GPW generated from new business, which declined from 12% reported as at 31 December 2022 reflects the challenges facing the industry due to the volatility in the macroeconomic environment, which limited the uptake of new business due to low disposable incomes and product irrelevance.

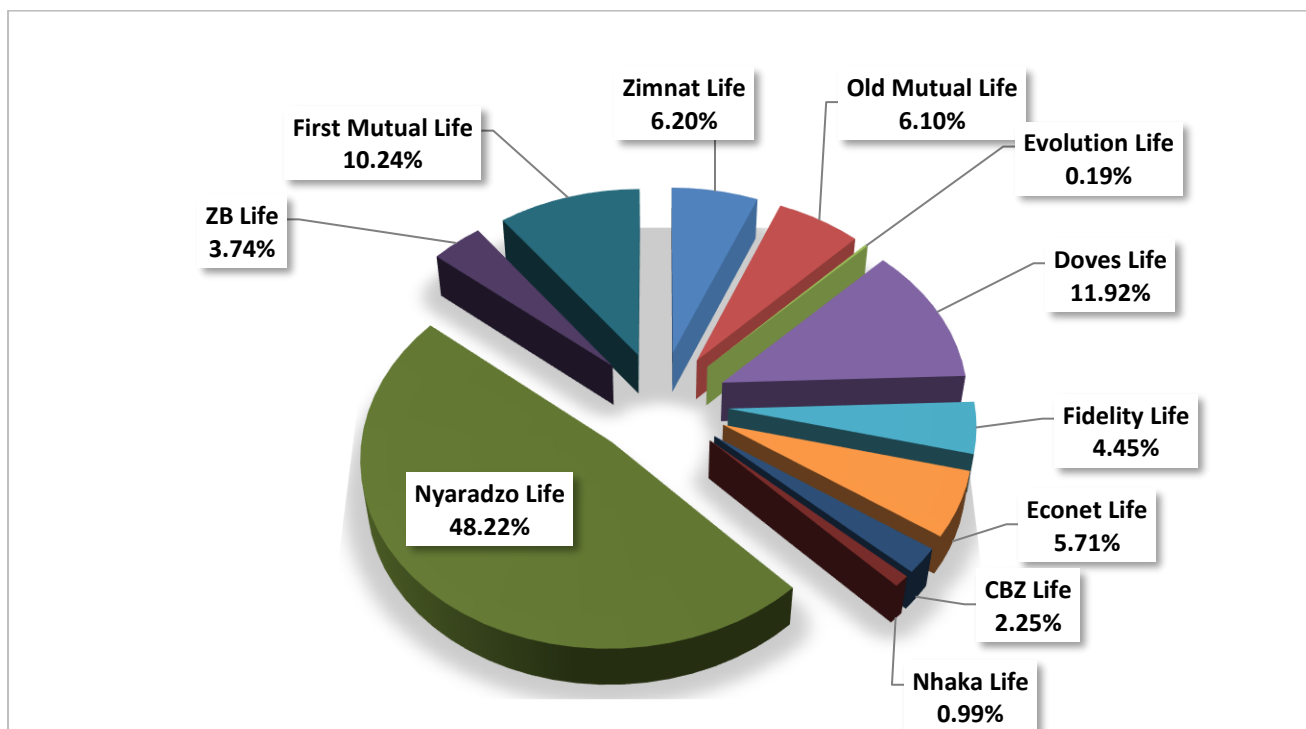
8 Reassurance

- 8.1** Of the ZW\$36 billion GPW written by direct Life Assurers during the period under review, only ZW\$743 million was ceded to reinsurers, translating to a reinsurance ratio of 2%.
- 8.2** The reinsurance ratio for the Life Assurance Sector remains low and the Commission, therefore, calls for industry players to fully embrace reinsurance as a risk management tool that plays a critical role in protecting their balance sheets.
- 8.3** Reinsurance is also important in cushioning the balance sheet during periods of high claims experience.

9 Market Share

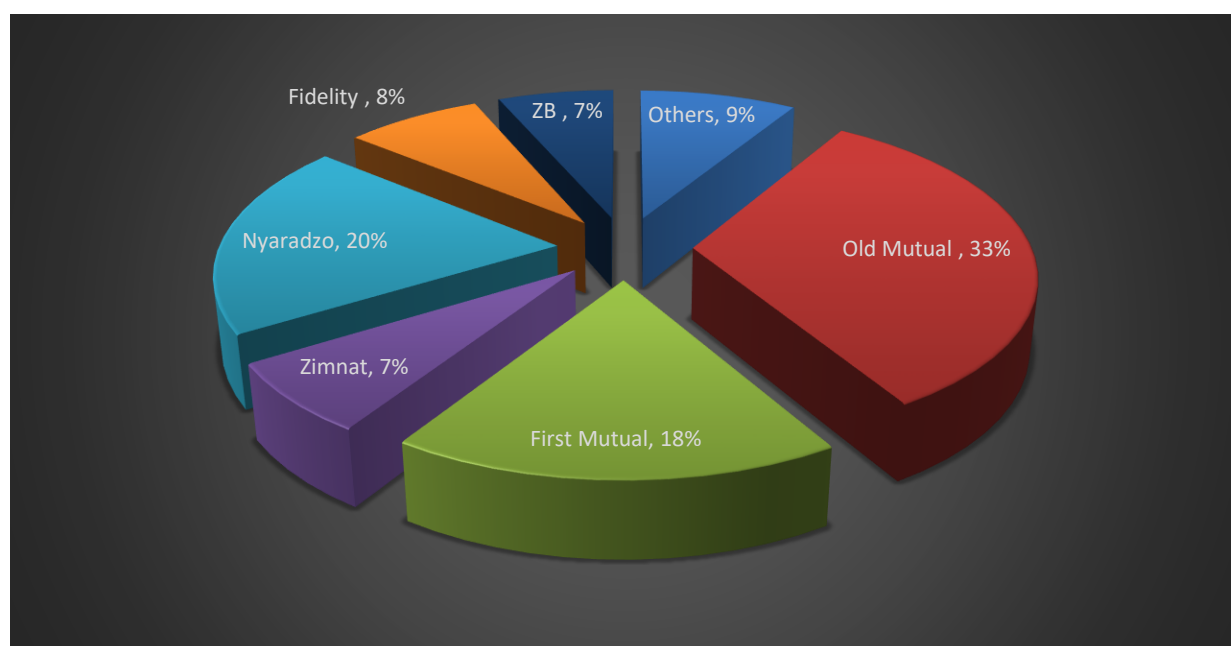
- 9.1** Nyaradzo Life Assurance Company continued to dominate the sector with a market share of 48% in terms of GPW.
- 9.2** Entities whose main business portfolio is Funeral Assurance continued to dominate the market, highlighting the dominance of the funeral assurance business in the life assurance sector. Funeral business has become the cash cow of most life assurance companies as other products lose relevance in the market.
- 9.3** The figure below shows the market share distribution for the Life Assurance Sector in terms of GPW:

Figure 6: Market Share in terms of GPW



- 9.4** In terms of assets distribution, three players, Old Mutual, Nyaradzo and First Mutual, dominated the sector with a combined share of 70% of total sector assets with the other entities sharing the remaining 30%.
- 9.5** The figure below shows the distribution of assets by entity.

Figure 7: Market Share by Assets

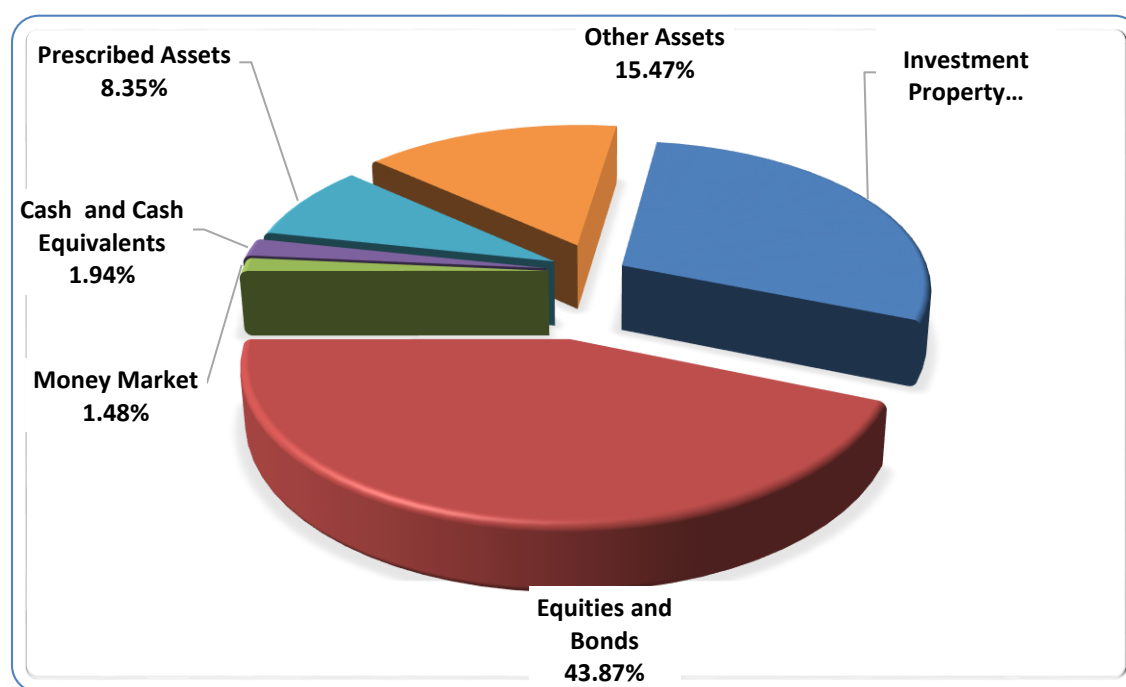


**Other comprises Econet Life, Doves Life, Evolution Life, CBZ Life, and Nhaka Life.*

10 Asset Quality

- 10.1** As at 31 March 2023, the life assurance sector reported total assets amounting to ZW\$451 billion, representing a nominal increase of 64% from ZW\$275 billion as at 31 December 2022.
- 10.2** The nominal growth in the sector's assets was mainly driven by listed equities and property investment revaluations in line with inflation.
- 10.3** Investment Property and Equity constituted 73% of total assets for Life Assurers, a reflection of the general long-term nature of liabilities for the sector.
- 10.4** Life Assurance Sector entities are expected to invest in assets that match their liabilities in nature, term and currency.
- 10.5** The figure below, shows the asset breakdown for the Life Assurance Sector as at 31 March 2023.

Figure 8: Assets Breakdown as at 31 March 2023



**Other investments include receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Liquidity

10.6 The Life Assurance Sector reported a total of ZW\$38 billion in current assets compared to ZW\$11 billion in the same period last year with an average current ratio of 109%. This indicated sufficient near cash assets to cover short-term contractual obligations and other current liabilities.

10.7 Liquidity is important for sector entities as it helps to ensure smooth daily operations and timeous settlement of claims as they fall due. Therefore, life assurers should strive to always maintain adequate liquidity.

11 Earnings

11.1 In real terms, total profit after tax for Life Assurers increased by 529% from ZW\$5 billion for the quarter ended 31 March 2022 to ZW\$31 billion for the quarter ended 31 March 2023.

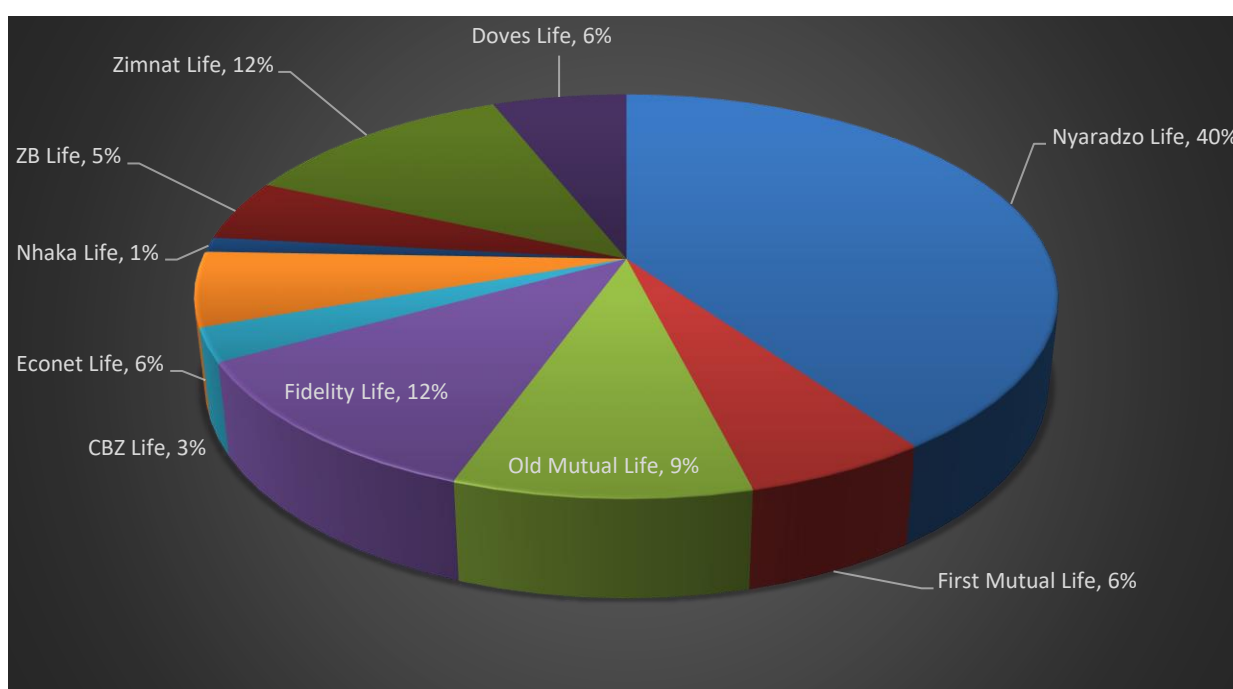
11.2 The combined ratio for the Life Assurance Sector decreased from 88% for the quarter ended 31 March 2022 to 84% as at 31 March 2023 indicating an increase in the underwriting margin.

11.3 All players are encouraged to continuously monitor their expenses to ensure that they are sustainable.

Performance in Terms of Gross Premium Written -Foreign Currency Business

- 11.4** For the quarter ended 31 March 2023, the Life Assurance Sector wrote foreign currency business amounting to US\$10.5 million an increase of 184% from the US\$3.7 million reported in the first quarter of 2022.
- 11.5** Growth in forex business is mainly due to the market preferring a more stable currency to avoid more frequent reviews of policies priced in ZW\$, which are being affected by inflation.
- 11.6** The breakdown of the foreign currency business written by the Life Assurance Sector per company is shown in the figure below:

Figure 9: Market Share by USD GPW



- 11.7** Nyaradzo commanded 40% of the market share showing the predominance of funeral products relative to other life products offered in the market.
- 12 Not Taken Up Policies for the 1st Quarter Ended 31 March 2023**
- 12.1** For the quarter ended 31 March 2023, the Life Assurance Sector reported a total of 97,700 not taken up (NTU) policies with a total nominal gross premium of ZW\$230.6 million.
- 12.2** Not taken up policies refer to insurance policies that have been offered to potential customers but were not taken up. This can happen for various reasons, such as policy

not meeting the customer's needs or budget, lack of understanding about the policy, or the customer already having similar coverage from another provider.

Table 7: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium ZW\$(000)
Zimnat Life	1,556	10,065
Old Mutual Life	225	1,414
Evolution Life	-	-
Doves Life	6,014	-
Fidelity Life	385	12,414
Econet Life	89,403	205,627
CBZ Life	-	-
Nhaka Life	-	-
Nyaradzo Life	-	-
ZB Life	-	-
First Mutual Life	117	1,095
Total	97,700	230,615

Lapsable Policies

- 12.3** At the beginning of the first quarter of 2023, the sector had a total of 2.1 million lapsable policies, of which 215,146 policies lapsed during the same quarter, translating to a lapse ratio of about 11%.
- 12.4** The lapse ratio of 11% is greater than the lapse ratio of 8% recorded during the same period in 2022.
- 12.5** The increase in lapse rate indicates that more policyholders are failing to maintain their policies and lack of confidence in the sector, a situation that is linked to economic hardships and volatility in the market whereby policyholders are finding it hard to continue with their policies in the face of regular premium reviews and change in policies.
- 12.6** The table below shows the lapse ratio per individual entity, showing that Econet life and Nhaka life had lapse ratios that are above the industry average.

Table 8: Lapse Ratios for the Year Ended 31 March 2023

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapse Ratio
Zimnat Life	54,205	3,983	0	7.35%
Old Mutual Life	83,616	3,021	0	3.61%
Evolution Life	0	0	0	0
Doves Life	125,737	2,974	2,185	4.10%
Fidelity Life	38,588	533	0	1.38%
Econet Life	1,020,565	188,216	0	18.44%
CBZ Life	55,938	2,311	0	4.13%
Nhaka Life	668	193	0	28.89%
Nyaradzo Life	561,664	8,376	3,259	2.07%
ZB Life	24,781	1,169	0	4.72%
First Mutual Life	89,174	4,370	0	4.90%
Total	2,054,936	215,146	5,444	10.73%

12.7 The life assurance sector is reminded to always comply with section 60 of the Insurance Act when lapsing policies as applicable. Below is a schedule applicable on lapsable policies.

SCHEDULE (Section 60)	
PERIOD FOR WHICH FUNERAL POLICY REMAINS IN FORCE WHERE PREMIUM NOT PAID	
<i>Period remains in force</i>	<i>Period for which premiums have been paid</i>
6 months	5 years or over and less than 7 years
9 months	7 years or over and less than 9 years
12 months	9 years or over and less than 11 years
18 months	11 years or over and less than 14 years
24 months	14 years or over and less than 17 years
36 months	17 years or over and less than 21 years
48 months	21 years or over and less than 25 years
60 months	25 years or over.

13 Capitalisation

13.1 As at 31 March 2023, all the 11 Life Assurers reported capital positions that were compliant with the existing MCR of ZW\$75 million.

13.2 ZICARP, a risk-based solvency assessment became effective 1 January 2023. To minimise the need for regular reviews of Absolute Minimum Capital Requirements (AMCR), the AMCR under the ZICARP framework are being indexed to the US\$. ZICARP requires industry players to hold capital that reflects the level of risk underwritten as opposed to one size fits all which may not be in line with the risk exposure. Entities are

required to prepare for the new USD-Indexed AMCR as the industry transitions to the risk-based capital regime to avoid last-minute challenges.

13.3 An adequately capitalised Life Assurance sector is crucial for policyholder protection in the event that there are shocks in the economy that needs extra funds from the shareholders to settle claims.

13.4 Adequate capital also helps to increase policyholder confidence within the insurance industry as business is based on the going concern concept.

14 Prescribed Assets

14.1 For the period under review, the total investments in prescribed assets by the Life Assurance Sector amounted to ZW\$38 billion, translating to a sector compliance level of 8%.

14.2 Three out of the eleven life assurers were compliant with the minimum prescribed asset ratio of 15% of adjusted assets.

14.3 Nhaka, Fidelity and Econet Life Assurance companies reported 70%, 21.6% and 16.27% of prescribed asset investments, respectively.

14.4 With the introduction of Gold Coins, among other financial instruments which have been accorded Prescribed Asset (PA) Status, the Commission expects compliance ratios to improve, and the industry is urged to consider all the instruments that have been accorded PA status as investment destinations to meet the minimum prescribed asset ratio. The Commission is constantly monitoring the uptake of prescribed assets through the submission of monthly updates by the entities.

SECTION E

PERFORMANCE OF LIFE REASSURANCE COMPANIES

15 Nature of the Reassurance Business

15.1 While all Life Reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to their Life Assurance business, except for their capital positions, which comprise both life and non-life positions.

15.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

15.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of the Common Market for Eastern and Southern Africa (COMESA) and writes business in all COMESA Member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

16 Performance in terms of Business Written

16.1 The volume of Life Reassurance business written, in terms of GPW, increased by 309% in nominal terms from ZW\$267 million reported for the period ended 31 March 2022 to ZW\$1,09 billion for the current reporting period. In real terms, the growth in business translated to 118% after adjusting for inflation.

16.2 The table below shows the breakdown in GPW per entity:

Table 9: Breakdown of GPW for Reassurers

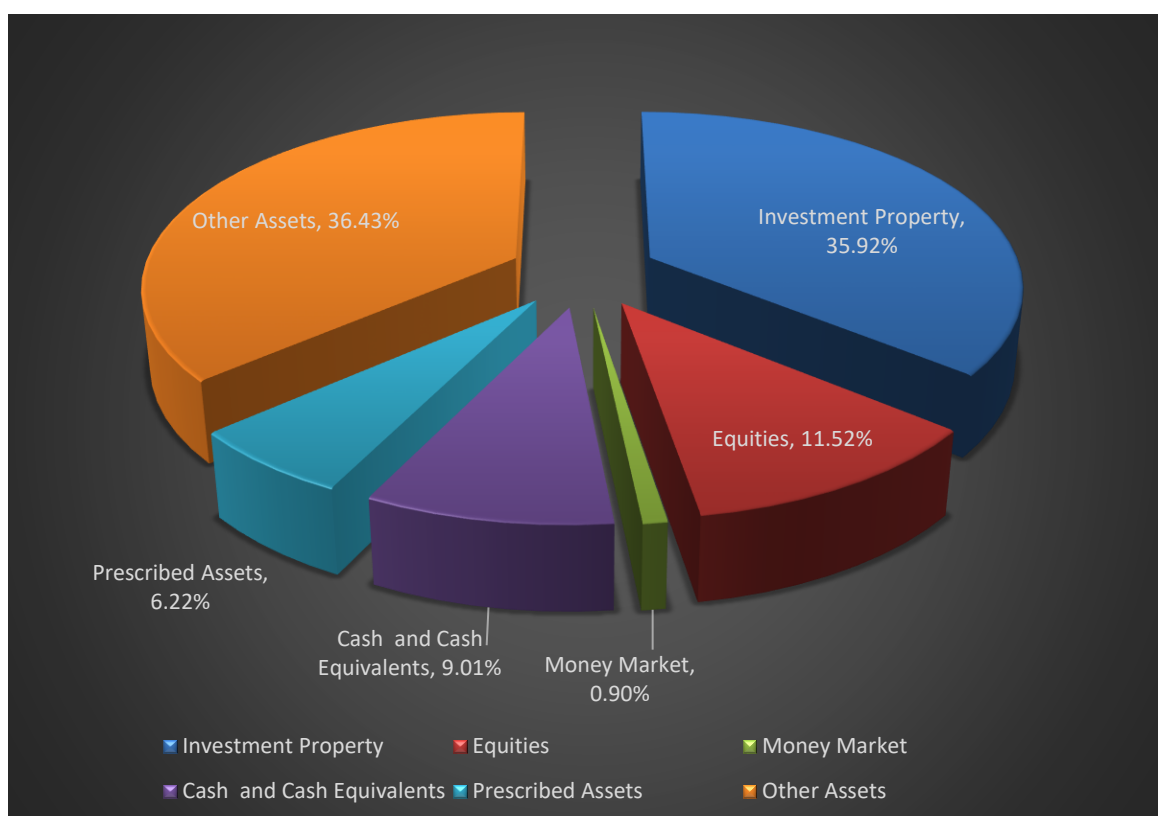
Name of Company	Q1 2023 Total Premium (ZW\$000)	Q1 2022 Total Premium (ZW\$000)	Mar-2023 Inflation Adjusted (ZW\$000)	Real Growth after inflation adjustment (ZW\$000)	Nominal Change (%)
First Mutual Reinsurance	69,333	14,273	36,958	158.94%	385.76%
Emeritus Reinsurance	536,089	157,489	285,765	81.45%	240.40%
FBC Reinsurance	401,782	56,264	214,172	280.65%	614.10%
ZEP Re-insurance	84,377	38,643	44,978	16.39%	118.35%
TOTAL	1,091,580	266,669	581,872	118.20%	309.34%

- 16.3** Life Reassurance companies reported Foreign Currency business amounting to US\$781,060 for the period ended 31 March 2023, an increase from US\$551,518 for the quarter ended 31 March 2022.
- 16.4** Growth in forex business is an indication of the increase in forex denominated risks being written by direct insurers.
- 16.5** The main income drivers for forex business were Gross Premium Written and investment income.
- 16.6** The total claims paid in forex amounted to US\$149 million, which translated to the claims' ratio of 20%.
- 16.7** The underwriting profit for forex business amounted to US\$477 million as at 31 March 2023, which resulted in profit after tax of US\$419 million.

17 Asset Quality

- 17.1** Total assets for Life Reassurers decreased by 32% from ZW\$11 billion as at 31 December 2022 to ZW\$ 7 billion as at 31 March 2023.
- 17.2** The decrease was as a result of one life reinsurer who have been reporting a combined balance sheet position for life and short-term insurance during the course of 2022.
- 17.3** Investment property constituted 36% whilst other investments, which include deferred tax assets, deferred acquisition costs and unquoted equities constituted 36% of the total assets for life reassurers.
- 17.4** The table below shows the spread of assets:

Figure 10: Life Reassurers' Total Assets



**Other investments include deferred tax assets, deferred acquisition costs, and unquoted shares.*

18 Liquidity

18.1 The Life Reassurance Sector reported current assets amounting to ZW\$3.6 billion and current liabilities amounted to ZW\$ 0.33 billion, translating to working capital of ZW\$ \$3.27 billion as at 31 March 2023.

18.2 The Life Reassurance Sector's average current ratio was 1,090% as at 31 March 2023, showing sufficient liquidity to cover short-term contractual obligations as they fall due.

18.3 Whilst life reassurers have sufficient liquidity to cover liabilities, there is evidence that more resources are lying idle without being invested to generate more income.

18.4 Experience analysis should also help the life reassurers to estimate how much cash resources should be kept for the purpose of paying current liabilities.

18.5 As such, life reassurers are encouraged to release some of their current assets for investment purposes so that they can generate more income to grow the business.

19 Earnings

19.1 For the year ended 31 March 2023, the Life Reassurance Sector's profit after tax increased by 195% from ZW\$199 million reported for the period ended 31 March 2022, to ZW\$587 million.

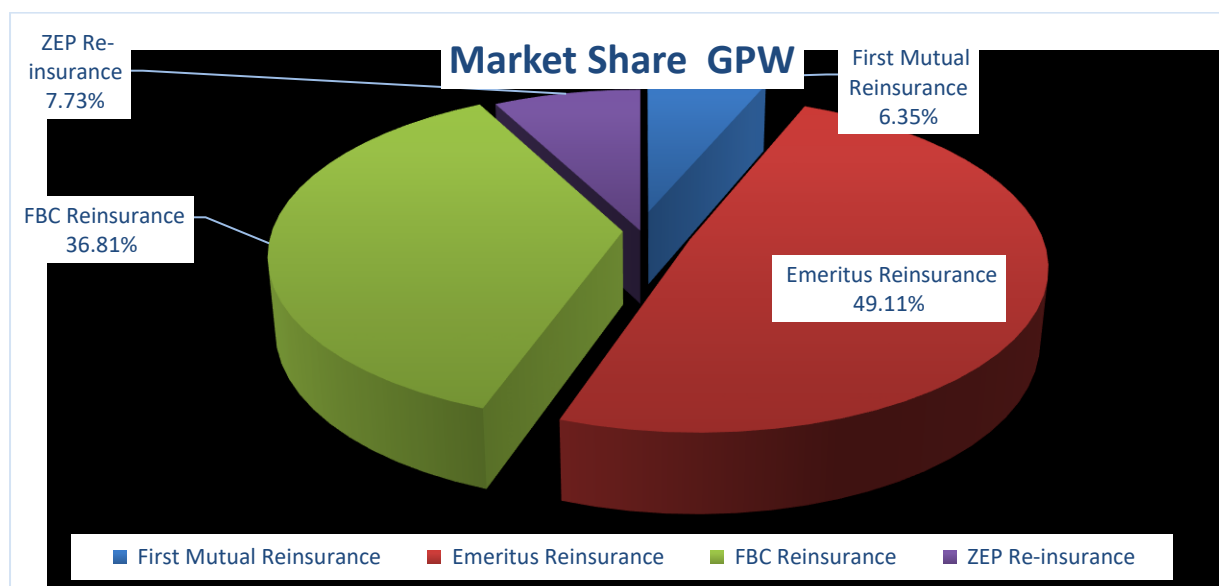
- 19.2** The increase in profit after tax is mainly attributed to significant increases in fair value gains from price adjustments in assets.
- 19.3** The Reassurance Sector recorded an underwriting profit of ZW\$293 million. The underwriting profit was mainly driven by high premium income and fewer claims and commissions during the same period.
- 19.4** The combined ratio for the Life Reassurance Sector was 59% for the quarter ended 31 March 2023 compared to 70% reported during the same period in 2022.
- 19.5** The decrease in combined ratio between March 2022 and March 2023 shows that reinsurers made significant profit during the quarter under review.

20 Market Share

Market Share in Terms of GPW

- 20.1** GPW for the Life Reassurance Sector remains concentrated in one reinsurer, Emeritus Re, controlling a market share of 49% followed by FBC Re with 37% while the remaining two entities share the 14% of the market.
- 20.2** The breakdown of the market share of the sector players in terms of GPW is shown in the figure below:

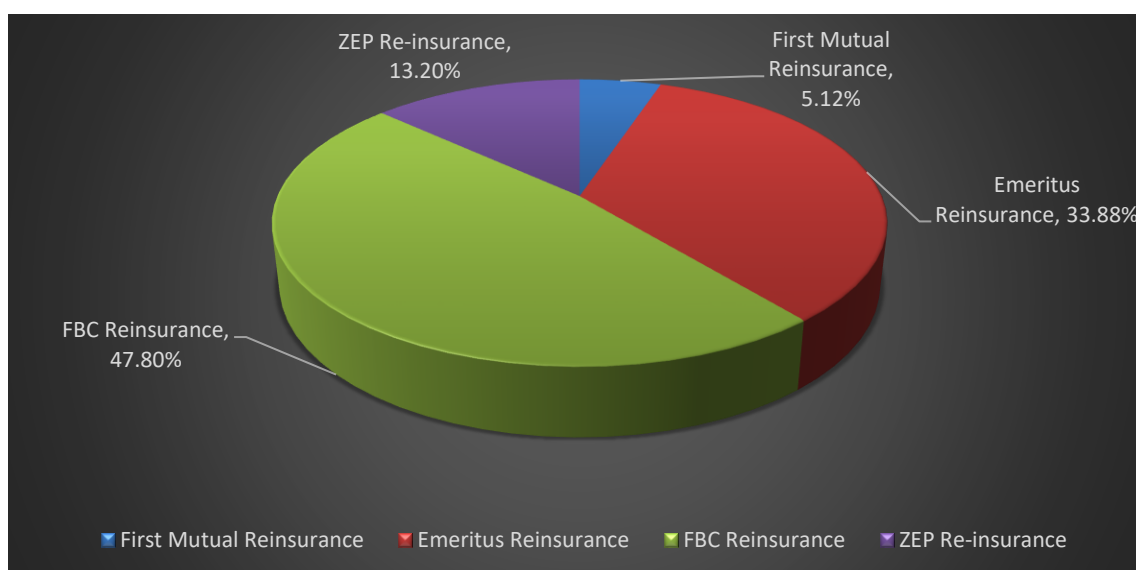
Figure 11: Market Share by Gross Premium Written



Market Share in terms of Total Assets

- 20.3** FBC Re has the biggest share of assets (48%) for the reinsurance sector followed by Emeritus Re with 34% while the remaining 18% share belongs to the other two players.
- 20.4** Breakdown of sector's assets by players, is shown in the figure below.

Figure 12: Market Share Distribution in Terms of Total Assets



21 Capitalisation

21.1 As at 31 March 2023, all four Composite Reassurers were compliant with the minimum capital requirement (MCR) of ZW\$112.5 million based on their unaudited returns (see Table 9 below).

21.2 Adequate capitalisation is crucial for the resilience and protection of the underlying policyholders' contracts with direct Life Assurers.

21.3 All entities are required to continuously carry out their capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZICARP Framework.

Table 10: Capital Position for Composite Reassurers

Company Name	Capital (Net Assets) Mar 2022 (ZW\$ 000)	Capital (Net Assets) Mar 2023(ZW\$ 000)
First Mutual Reinsurance	418,318	621,523
Emeritus Reinsurance	3,569,904	3,297,523
FBC Reinsurance	502,290	667,969
ZEP Re-insurance	959,192	1,419,147
Totals	5,449,705	6,006,162

Prescribed Assets

- 21.4** Total investments in prescribed assets by the Life Reassurance Sector amounted to ZW\$449 million, translating to an average compliance level of 6% across the sector.
- 21.5** As at 31 March 2023, two (2) of the four (4) Life Reassurers were compliant with the minimum prescribed asset threshold of 15% of total assets.
- 21.6** The Ministry of Finance and Economic Development has accorded PA status to a number of instruments in the market and every industry player is encouraged to consider instruments that suit their investment policies to attain compliance.

Table 11: Prescribed Assets Ratios for Reassurance Sector Players

Company name	PA Investments (ZW\$000)	Total Assets (ZW\$000)	PA Ratio	Amount required to be compliant (ZW\$000)	Variance in compliance
First Mutual Reinsurance	116,920	643,557	18.17%	96,533.49	-3.17%
Emeritus Reinsurance	53,031	4,259,596	1.24%	638,939	13.76%
FBC Reinsurance	18,084	649,250	2.79%	97,387	12.21%
ZEP Re-insurance	260,617	1,659,647	15.70%	248,947	-0.70%
Total	448,653	7,212,050	6.22%	1,081,807	8.78%

SECTION F

AML and CFT

22 Institutional Risk Assessments and Mitigation

- 22.1** The third round of the Eastern and Southern Africa Anti-Money Laundering Group (ESAAMLG) mutual evaluation process is expected to commence in 2025. The evaluation focus shall be on the effectiveness of a country's anti-money laundering and combating financing of terrorism (AML/CFT) systems, that is the extent to which the FATF recommendations outcomes are being achieved in a country.
- 22.2** In terms of immediate outcome 4 (IO-4) of the Financial Action Task Force (FATF) methodology, financial institutions are required to adequately apply AML/CFT preventive measures commensurate with their risks, and report suspicious transactions. Therefore, risk-based approach is central to AML/CFT.
- 22.3** Section 12B of the Money Laundering and Proceeds of Crime Act [Chapter 9:24] hereafter referred to as the MLPC Act requires every financial institution to assess the money laundering and terrorist financing risks to which it is exposed and maintain adequate records thereof.

23 Risk Assessment

- 23.1** Insurance companies are required to take appropriate steps to identify, assess, and understand their money laundering and terrorism financing (ML/TF) risks (for customers, countries or geographic areas; and products, services, transactions or delivery channels). Insurers and their intermediaries must:
- (a) document their risk assessments.
 - (b) consider all the relevant risk factors before determining what is the level of overall risk and the appropriate level and type of mitigation to be applied.
 - (c) keep these assessments up to date.
 - (d) provide risk assessment information to their supervisors or competent authorities for feedback.
- 23.2** The insurer should implement prescribed AML/CFT measures, commensurate with the identified risks, that is to say—
- shall implement **enhanced measures** for high-risk customers, products, services or situations, as appropriate; and
 - may implement **simplified or reduced measures** for low-risk customers, products, services or situations, as appropriate.

24 Risk Mitigation

24.1 Insurance companies should:

- (a) have policies, controls and procedures, which are approved by senior management, to enable them to manage and mitigate the risks that have been identified (either by the country through the national or sectoral and/or institutional risk assessments);
- (b) monitor the implementation of those controls and to enhance them if necessary; and
- (c) take enhanced measures to manage and mitigate the risks where higher risks are identified.

25 Simplified Due Diligence Measures

- (a) Simplified measures to manage and mitigate risks, are permissible only if lower risks have been identified, following an entity's risk assessment.
- (b) **Please note** that simplified measures are not permitted whenever there is a suspicion of ML/TF even when the risk is considered to be low.
- (c) It is not permissible for an insurer or broker to dispense with any prescribed anti-money laundering measures on the grounds that it considers the risk to be low.

26 Review and Update of Institutional Risk Assessments

- (d) IPEC has been issuing circulars requesting industry to update their institutional risk assessments on an annual basis, however the frequency of review can be more than once annually should there be material changes in ML/TF risk. In terms of Section 12B (3) insurers must review and update its risk assessments **regularly** to take into account material changes in risk factors and shall maintain records of such reviews and updates.
- (e) Review of an IRA must also be conducted:
 - (a) Before launching any new product, service or business practice, and
 - (b) Before the use of any new technological innovation, for both new and existing products, every financial institution, shall assess and document the money laundering and terrorist financing risk posed by such product, service, business practice or technology, and put in place adequate measures to mitigate the risk.
- (f) In January 2021, the Financial Intelligence Unit issued a '**Guideline to Financial Institutions and Designated Non-Financial Businesses and Professions on the Risk Based Approach to Implementation of AML/CFT Obligations**'. The Commission has also developed a general AML/CFT industry guideline, which is currently at review stage and will be shared with industry once finalised.

27 Penalties for Non-Compliance

(g) Section 12B (6) of the MLPC Act states that any financial institution, which fails to comply with the provisions of the section, including the requirements of any directive or guidelines issued thereunder by the Director General, shall be guilty of an offence and liable to a fine not exceeding level fourteen or imprisonment for a period not exceeding two years or to both such fine and imprisonment.

28 Key Observations From 2022 IRA Submissions

(h) From submissions made, the Commissions noted the following issues of concern:

- a. Several entities are not conducting customer risk assessments as part their institutional risk assessment. The risk assessments were limited to products offered only.
- b. There is limited understanding of geographic risk with majority of entities limiting this to foreign jurisdiction associated with terrorism, or on the FATF grey and blacklists. It is important to note that geographic risk also involves domestic areas as informed by NRA.
- c. Most entities did not consider the findings of the NRA when conducting their self-assessments, even in instances where their clients are exposed to high-risk activities identified therein. The NRA provides a broad context of national ML/TF risks, though it does not take into account detailed factors and peculiarities of the institution.
- d. Some entities demonstrated a limited understanding of the nature and level of ML and TF risks they are exposed to. Whist the Commission issued a guiding template to assist entities assess their ML and TF risks, some simply ticked the boxes to comply with IPEC requirement and did not internalise the assessments. Therefore, the submitted assessments may not be accurately reflecting the ML/TF risks as well as informing their AML/CFT mitigation.
- e. AML/CFT policies, internal controls, and programmes for some entities not necessarily being informed by the level of risk, hence may be in some instances inadequate or inappropriate.
- f. A significant number of registered entities are not adequately detecting and reporting suspicious transactions.

29 Other General Observations

- a. Entities are not reviewing their IRAs before (i) launching of new products, services or business practise and (ii) use of any new technological innovation, for both new and existing products. This is in violation of Section 12B (4) of the MLPC Act.
- b. Where such reviews have been carried out, only a few submissions have been made to the Regulator.

30 Conclusion

Reporting entities must comply with the provisions of the Act so that their AML/CFT systems are effective, and they fulfil their obligations, and also avoid being penalised for non-compliance. Issues of concern observed from 2022 IRA submissions must be addressed in future assessments. The reporting entities are reminded to apply a risk-based approach in managing risks relating to money laundering and terrorism financing.

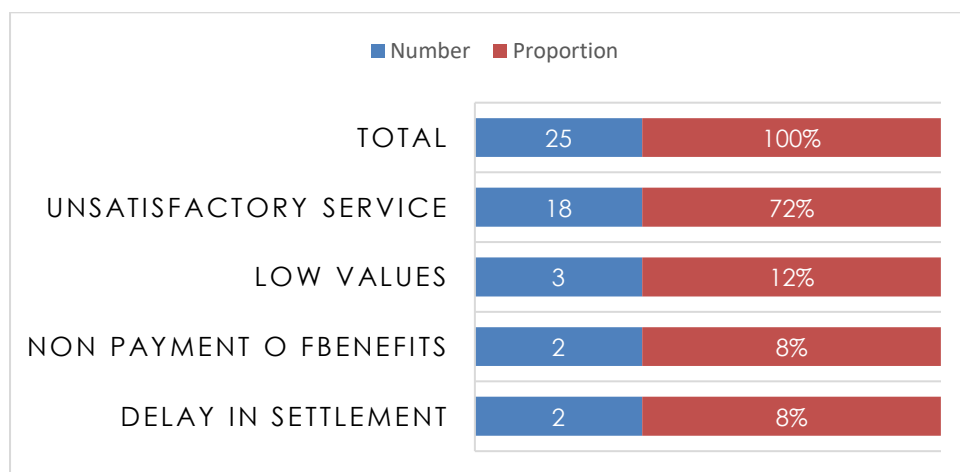
SECTION G

COMPLAINTS HANDLING AND CONCLUSION

31 Complaints

31.1 In the quarter ended 31 March 2023, the Commission received 25 life assurance-related complaints. The major sources of complaints were unsatisfactory service (72%) and those related to the commission of inquiry, which constituted 12 percent, while non-payment of benefits and delay in settlement constituted 8% each.

Figure 13: Complaints for the Quarter Ended 31 March 2023

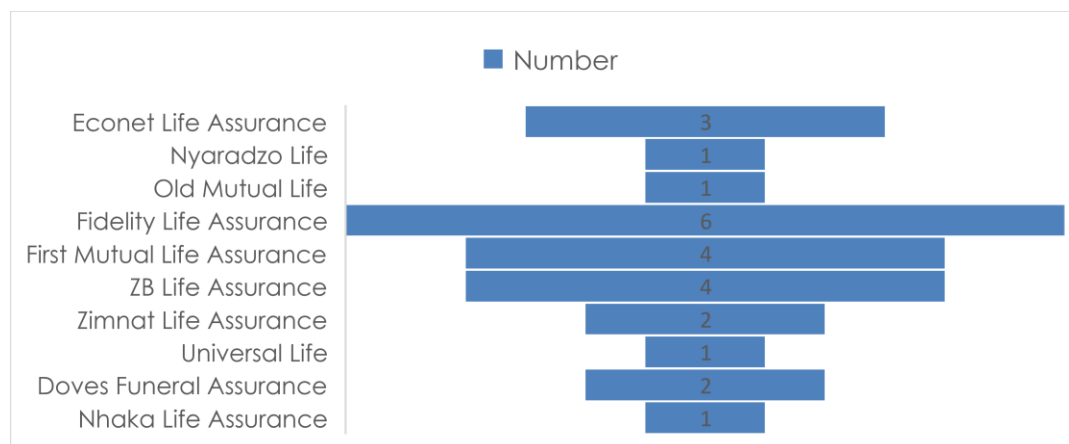


31.2 Customer service remains a challenge in the industry and the Commission encourages all regulated entities to ensure that policyholders get the service as per agreement summarised in the policy documents. The Commission reiterates the need for the industry to embrace Treating Customers Fairly principles to facilitate trust and confidence in the industry.

31.3 In the quarter under review, Fidelity Life had the highest number of complaints, accounting for 24%, followed by ZB Life and First Mutual Life, each at 16%, while Econet constituted 12%, Doves and Zimnat Life at 8% each and four entities namely Old Mutual Life, Doves, Nhaka Life, Nyaradzo Life and Universal Life were all at 4%.

31.4 The distribution of complaints by entity is shown in the chart below:

Figure 14: Breakdown of Complaints by Entity



32 Conclusion

32.1 The Commission directs all entities under the Life Assurance Sector to comply with all Regulatory requirements, Statutes, Directives, Guidelines, and Circulars on an ongoing basis.

32.2 The Sector is also encouraged to be highly innovative in terms of both product development and re-alignment of their business models to adapt to the unfolding realities in the market environment.

32.3 The Commission underscores the need for the Life Assurance Sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.

SECTION G
APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE QUARTER ENDED 31 MAR 2023 (ZWL\$'000)												
	Zimnat Life	Old Mutual Life	Evolution Life	Doves Life	Fidelity Life	Econet Life	CBZ Life	Nhaka Life	Nyaradzo Life	ZB Life	First Mutual Life	Total
Gross Written Premiums	2,232,369	2,195,720	67,745	4,287,451	1,600,935	2,053,963	809,452	355,693	17,349,087	1,346,809	3,683,469	35,982,692
Reinsurance Premiums	269,292	178,927	1	0	69,724	110,904	95,168	836	0	56,150	-37,609	743,392
Net Written Premiums	1,963,076	2,016,794	67,744	4,287,451	1,531,211	1,943,059	714,285	354,857	17,349,087	1,290,659	3,721,079	35,239,300
Increase/(Decrease) in UPR	343,777	152,759	245	0	0	41,419	0	-900	0	0	30,933	568,233
Net Earned Premiums	1,619,299	1,864,034	67,499	4,287,451	1,531,211	1,901,639	714,285	355,757	17,349,087	1,290,659	3,690,146	34,671,067
Provision for Future Claims	0	9,610,264	4,746	438,745	0	841	0	201,409	244,656	0	0	10,500,662
Outstanding claims	0	0	0	0	0	31,040	75,646	0	0	-58,570	0	48,115
Paid Claims	358,649	838,896	10,761	963,059	112,962	914,712	142,451	19,075	6,430,448	102,124	857,830	10,750,966
Net Claims	358,649	10,449,160	15,507	1,401,804	112,962	946,593	218,096	220,484	6,675,104	43,553	857,830	21,299,743
Net Commissions and Fees	303,413	28,422	16,343	368,286	130,472	1,331	143,362	12,550	1,178,783	306,802	135,526	2,625,288
Technical Result	957,237	-8,613,548	35,648	2,517,361	1,287,777	953,716	352,826	122,723	9,495,200	940,304	2,696,791	10,746,036
Operating/Administration Expenses	963,836	162,564	0	316,953	0	0	0	10,619	5,498,195	433,185	73,690	7,459,043
Underwriting Profit/(Loss)	-6,599	-8,776,112	35,648	2,200,409	1,287,777	953,716	352,826	112,104	3,997,004	507,119	2,623,100	3,286,993
Management expenses	205,960	0	25,060	1,177,585	400,517	1,108,917	692,014	354,420	806,296	433,185	3,149,614	8,353,567
Investment Income	7,851	401,977	0	49,265	46,142	42,813	19,740	0	44,794	49,966	457,640	1,120,190
Unrealised Gains/Losses	3,239,210	47,914,793	0	2,203	269,334	2,038,880	590,495	788,697	-319,855	479,862	7,868,792	62,872,410
Other expenses	2,392,339	31,653	18,967	0	13,792	-260,273	0	0	0	0	0	2,196,478
Other Income	314,207	81,035	0	422	-117,053	16,889	55,788	-65,853	1,540,477	519,932	0	2,345,845
Profit Before Interest and Tax	956,371	39,590,040	-8,378	1,074,715	1,071,892	2,203,654	326,835	480,528	4,456,124	1,123,695	7,799,918	59,075,393
Taxation	43,141	0	0	30,303	0	6,851	831	0	1,101,554	12,242	172,184	1,367,107
Interest Payments	358	0	0	-7	0	155,722	124,071	0	0	0	0	280,144
Profit After Tax and Interest	912,872	39,590,040	-8,378	1,044,418	1,071,892	2,041,082	201,933	480,528	3,354,570	1,111,453	7,627,734	57,428,143
Other Comprehensive income	0	0	0	0	0	0	0	0	0	0	0	0
Transfer to policyholders funds	0	0	0	0	0	0	0	0	0	0	0	0
Retained Income	912,872	39,590,040	-8,378	1,044,418	1,071,892	2,041,082	201,933	480,528	3,354,570	1,111,453	7,627,734	57,428,143

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 MAR 2023 (ZWL\$000)

	Zimnat Life	Old Mutual Life	Evolution Life	Doves Life	Fidelity Life	Econet Life	CBZ Life	Nhaka Life	Nyaradzo Life	ZB Life	First Mutual Life	Total
ASSETS												
Non-Current Assets												
Property and Equipment	175,655	2,132,398	19,216	1,641,300	92,365	560,584	871,630	189,118	66,437,690	483,467	70,975	72,674,398
Investment Property	3,245,690	20,026,833	1,387,111	12,112,100	10,485,910	479,245	4,413,898	1,235,100	1,548,452	2,633,932	0	57,568,270
Intangible Assets	24,928	0	0	0	39,916	0	0	69,000	0	75,183	0	209,026
Investments in Securities	22,876,794	117,321,676	164,774	209,319	22,279,887	5,569,881	1,915,661	0	4,922,302	7,134,513	15,421,382	197,816,187
Intercompany Investments	0	0	0	0	0	0	0	0	0	0	0	0
Other Non-Current Assets	718,328	0	0	0	0	257,760	0	3,614,806	0	18,627,226	61,525,374	84,743,495
Total Non-Current Assets	27,041,395	139,480,907	1,571,100	13,962,719	32,898,078	6,867,469	7,201,189	5,108,025	72,908,443	28,954,320	77,017,731	413,011,377
Technical Assets												0
Reinsurers' Share of O/S Claims	0	0	0	0	0	4,210	0	0	0	0	0	4,210
Deferred Acquisition Cost (DAC)	0	0	0	0	0	0	55,267	0	0	0	0	55,267
Total Technical Assets	0	0	0	0	0	4,210	55,267	0	0	0	0	59,478
Current Assets												
Cash & cash equivalents	504,167	2,031,599	2,484	616,351	217,061	708,738	419,295	22,874	2,600,326	43,991	1,569,234	8,736,120
Money Market Investments	1,510,063	3,325,119	5	0	0	420,894	135,414	0	1,154,297	140,520	0	6,686,311
Inventory and Other Assets	2,472,117	1,516,134	21,809	1,874,568	1,103,086	236,773	68,057	22,832	11,834,680	173,384	1,534,714	20,858,153
Premium Receivables	172,006	692,317	0	78,024	159,050	73,735	224,522	0	0	0	137,682	1,537,336
Total Current Assets	4,658,353	7,565,170	24,298	2,568,944	1,479,197	1,440,140	847,287	45,705	15,589,303	357,894	3,241,630	37,817,920
Total Liquid Assets	2,014,230	5,356,718	2,489	616,351	217,061	1,129,632	554,708	22,874	3,754,623	184,511	1,569,234	15,422,431
Total Assets	31,699,748	147,046,077	1,595,398	16,531,662	34,377,275	8,311,819	8,103,744	5,153,730	88,497,746	29,312,215	80,259,361	450,888,775
Liabilities												
Deferred Tax Liabilities	394,093	0	2,371	-96,413	0	0	0	0	11,593,218	1,671,499	389,065	13,953,832
Future policyholders benefits	0	0	254	1,264,708	0	0	0	0	0	0	797,415	2,062,377
Short term loans	0	0	0	0	0	0	0	0	0	0	0	0
Long term Loans	0	0	0	154,235	0	0	0	63,467	0	0	0	217,702
Current Tax provisions	18,283	1,191,121	0	0	1,736,959	59,323	14,129	0	0	0	47,433	3,067,247
Gross Outstanding Claims	348,622	883,786	0	0	0	31,040	99,804	793	0	-58,570	0	1,305,474
IBNR	190,500	1,942,278	16,748	0	0	192,533	83,672	6,568	0	0	0	2,432,299
UPR	63,055	337,447	1,262	0	0	156,083	220,653	33,328	0	0	0	811,828
Other Technical Provisions	70,758	29,857,326	0	0	29,414,775	197,191	911,010	3,650,628	43,544,001	0	57,309,229	164,954,919
Life Fund	19,870,990	0	0	0	0	0	1,270,175	0	0	16,108,914	0	37,250,079
Creditors	2,712,781	124,231	24,022	108,928	96,345	847,429	166,198	187,795	0	1,458,764	718,641	6,445,134
Amount due to related companies	484,342	4,479,894	10,218	97,946	0	857,929	152,851	60,798	0	175,560	304,754	6,624,294
Other Liabilities	0	3,261,879	0	0	733	63,752	0	0	0	0	1,303,689	4,630,053
Total Technical Liabilities/Reserves	20,543,925	33,020,837	18,265	1,264,708	29,414,775	576,847	2,585,314	3,691,317	43,544,001	16,050,343	58,106,644	208,816,977
Current Liabilities	3,609,499	9,057,125	36,611	110,460	1,834,037	1,828,433	333,178	248,593	11,593,218	3,305,823	2,763,583	34,720,560
Total Liabilities	24,153,424	42,077,962	54,875	1,529,403	31,248,812	2,405,280	2,918,492	4,003,376	55,137,219	19,356,167	60,870,228	243,755,239
Shareholders's Equity												
Share Capital	200	132	0	1,000	1,089	0	0	20	400	232	7	3,081
Share Premium	450	29,990	2,435	0	671	5,685	1,555,305	34,804	0	4,432	143,488	1,777,262
Revaluation & Other Reserves	2,479	33,764	0	3,701	1,158,622	496,740	1,214,129	0	58,193,464	595,109	2,014	61,700,021
Minority Interest	0	0	0	0	0	0	0	0	0	0	0	0
Retained Profit	7,543,195	104,904,229	1,538,088	14,997,558	1,968,080	5,404,115	2,415,818	1,115,529	-24,833,337	9,356,275	19,243,623	143,653,173
Shareholders's Equity	7,546,324	104,968,115	1,540,523	15,002,260	3,128,462	5,906,540	5,185,252	1,150,354	33,360,527	9,956,048	19,389,133	207,133,536
TOTAL EQUITY & LIABILITIES	31,699,748	147,046,077	1,595,398	16,531,662	34,377,275	8,311,819	8,103,744	5,153,730	88,497,746	29,312,215	80,259,361	450,888,775

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE QUARTER ENDED 31 MAR 2023 (ZW\$000)

	First Mutual Reinsurance	Emeritus Reinsurance	FBC Reinsurance	ZEP Re-insurance	Total
Gross Written Premiums	69,333	536,089	401,782	84,377	1,091,580
Reinsurance Premiums	1,385	88,918	39,935	0	130,237
Net Written Premiums	67,948	447,171	361,847	84,377	961,343
Increase/(Decrease) in UPR	0	0	0	-4,102	-4,102
Net Earned Premiums	67,948	447,171	361,847	88,479	965,445
Provision for Future Claims	0	130,365	0	-15,198	115,167
Outstanding claims	0	0	0	0	0
Paid Claims	8,046	35,462	60,682	71,199	175,389
Net Claims	8,046	165,827	60,682	56,001	290,556
Net Commissions and Fees	10,754	105,731	93,634	21,586	231,705
Technical Result	49,147	175,613	207,531	10,892	443,184
Operating/Administration Expenses	5,249	135,596	8,756	1,033	150,634
Underwriting Profit/(Loss)	43,898	40,017	198,775	9,860	292,550
Management expenses	0	0	8,756	0	8,756
Investment Income	0	65,546	2,542	866	68,954
Unrealised Gains/Losses	0	0	52,600	30,788	83,388
Other expenses	0	0	0	0	0
Other Income	182,639	29,063	0	0	211,703
Profit Before Interest and Tax	226,537	134,626	245,161	41,513	647,839
Taxation	0	0	60,604	0	60,604
Interest Payments	0	0	0	0	0
Profit After Tax and Interest	226,537	134,627	184,558	41,513	587,235
Other Comprehensive income	0	0	0	0	0
Transfer to policyholders funds	0	0	0	0	0
Retained Income	226,537	134,627	184,558	41,513	587,235

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 31 MAR 2023 (ZW\$'000)

	First Mutual Reinsurance	Emeritus Reinsurance	FBC Reinsurance	ZEP Re-insurance	Total
ASSETS					
Non-Current Assets					
Property and Equipment	942	137	0	0	1,080
Investment Property	0	2,589,368	0	0	2,589,368
Intangible Assets	0	0	0	0	0
Investments in Securities	463,349	0	106,742	260,617	830,708
Intercompany Investments	0	0	0	0	0
Other Non-Current Assets	0	140,916	0	0	140,916
Total Non-Current Assets	464,291	2,730,422	106,742	260,617	3,562,073
Technical Assets					0
Reinsurers' Share of O/S Claims	0	0	0	0	0
Deferred Acquisition Cost (DAC)	0	0	0	25,566	25,566
Total Technical Assets	0	0	0	25,566	25,566
Current Assets					
Cash & cash equivalents	74,425	51,291	524,424	0	650,140
Short Term Investments	16,312	30,262	18,084	0	64,658
Inventory and Other Assets	57,837	1,447,621	0	1,373,464	2,878,923
Accounts Receivables	30,692	0	0	0	30,692
Total Current Assets	179,265	1,529,174	542,508	1,373,464	3,624,412
Total Liquid Assets	90,737	81,553	542,508	0	714,798
Total Assets	643,557	4,259,596	649,250	1,659,647	7,212,050
Liabilities					
Deferred Tax Liabilities	0	0	0	0	0
Future policyholders benefits	0	0	0	0	0
Short term loans	0	0	0	0	0
Long term Loans	0	0	0	0	0
Current Tax provisions	0	0	0	0	0
Gross Outstanding Claims	8,100	0	0	4,141	12,241
IBNR	6,384	0	0	136,153	142,537
UPR	0	0	122,601	100,206	222,807
Other Technical Provisions	5	130,365	0	0	130,370
Life Fund	0	648,465	0	0	648,465
Creditors	0	4,668	0	0	4,669
Amount due to related companies	7,544	178,574	21,689	0	207,807
Other Liabilities	0	0	114,035	0	114,035
Total Technical Liabilities/Reserves	14,489	778,830	122,601	240,500	1,156,420
Current Liabilities	7,544	183,243	135,723	0	326,511
Total Liabilities	22,033	962,073	258,324	240,500	1,482,930
Share Capital	1	488	0	0	488
Share Premium	2,288	6,281	0	0	8,569
Revaluation & Other Reserves	0	0	0	1,136,058	1,136,058
Minority Interest	0	0	0	0	0
Retained Profit	619,234	3,290,755	390,926	283,089	4,584,003
Shareholders's Equity	621,523	3,297,523	390,926	1,419,147	5,729,119
TOTAL EQUITY & LIABILITIES	643,557	4,259,596	649,250	1,659,647	7,212,050